

IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(SPECIAL ORIGINAL JURISDICTION)

Customs Appeal No. 138 of 2023

IN THE MATTER OF:

An appeal under Section 196D of the Customs Act, 1969.

AND

IN THE MATTER OF:

Summit Meghnaghat II Power Company Ltd.,
Summit Centre, 18, Kawran Bazar Commercial
Area, Dhaka-1215, Bangladesh

....Petitioner

Versus

Customs, Excise and VAT Appellate Tribunal,
Revenue Building (10th Floor), Block-C, Plot F
1/A, Agargaon, Sher-E-Bangla Nagar, Dhaka-
1207 and others

....Respondents

Mr. Mohammad Jamal Hossain, Advocate

....For the Appellant

Ms. Nasima K. Hakim, DAG with

Ms. Tahmina Polly, AAG,

Mr. Md. Hafizur Rahman, AAG,

Mr. Elin Imon Saha, AAG and

Mr. Ziaul Hakim, AAG

....For the respondents

Present:

Mr. Justice Md. Iqbal Kabir

And

Mr. Justice S.M. Maniruzzaman

Judgment on 16.11.2023.

Md. Iqbal Kabir, J:

This appeal, under Section 196D of the Customs Act (in short the Act) is directed against the judgment and order dated 04.12.2022 passed by respondent No.1 in Appeal Number: Cus-611 of 2022 vide Nathi No. CEVT/Case/(Cus)-611/2022/3560 dated 08.12.2022 dismissing the appeal and affirming the order No. 232 dated 01.08.2022 under নথি নং-৫/কাঃ হাঃ চট্টঃ সেকশন-৫(এ)/৬০২২/শুদ্ধায়ন কার্যক্রম/২০২২/৯২০২ passed by the respondent No.2 imposing penalty of TK. 5,56,00,000/- (five core and fifty six lac) upon the appellant under clause 14 of the table to section 156(1) of the Act for alleged misdeclaration under section 32 of the Act and also imposing a fine in lieu of confiscation of goods amounting to TK. 4,00,000/- (four lac) under section

181 of the Act and again demanding additional customs duties, taxes, and other charges amounting to TK. 2,77,18,138.17 determining the value of the goods measuring in KG instead of the Unit imported by the appellant under Bill of Entry No.C-649777 dated 07.04.2022, Invoice No. E1743-EXP-BEL-009 dated 29.11.2021.

Facts, relevant for disposal of the Appeal, in short, are that the appellant, Summit Meghnaghat Power Company Ltd. is a private limited company who started establishing a gas-fired combined-cycle power plant on the northern banks of the Meghna River. Appellant imported 2 packages of Gas Turbine Hot Gas Path-Stage 1 shroud (1 Package=24 pieces) (hereinafter referred to as goods in question) from Hungary after obtaining an Import Permit (IP) being IP No. 112000376222 dated 24.02.2022 from the office of Chief Controller of Imports and Exports (in short CCIE) and also obtained permission vide Memo NO. 27.11.0000.101.14.076.22-856 dated 22.02.2022 from Bangladesh Power Development Board (in short BPDB).

The value of the goods imported under Invoice would be in USD irrespective of its measure in KG. However, the value and description of the goods in question were determined in the permission issued by the BPDB dated 22.02.2022 and CCIE dated 24.02.2022. Upon shipment of the goods, the exporter/supplier sent the shipping documents i.e. Invoice, certificate of origin, packing list, bill of lading, etc. mentioning the weight of the goods in question for determination of value and assessment of the same by the customs authorities, though it was irrelevant as the value of the same had already been determined by the competent authorities of the government. However for the formalities, the weight had to be mentioned in the shipping documents, and mistakenly the net weight of the goods in question was written 473 KG instead of the actual net weight of 1851 KG, though the gross weight of 2324 KG was rightly mentioned in all other documents. The appellant through its clearing agent submitted a Bill of Entry to have released the goods on payment of the customs duties and other charges. But those goods were not released due to the description of weight. Knowing the above error, the exporter on 20.04.2022 issued a revised/corrected Invoice, Packing List and Bill of Landing mentioning the net weight of the goods in question is 1851 KG. After receiving the above-revised documents, the appellant on 28.04.2022 and 22.05.2022 filed applications to respondent No.2 along with revised documents for cancellation of the submitted bill of entry No. C-649777 dated 07.04.2022 and to issue a new bill of entry or to allow them to correct Colum No. 38 of the submitted bill of entry for noting the net weight of the goods in question as 1851 KG instead of 473 KG.

Based on the application, Respondent did not take any steps as per the provisions of sections 29 and 205 of the Act. Instead, they issued a show cause

notice in pursuance of the physical examination report dated 30.05.2022, thereby asking why the appellant should not be penalized under clause 14 of the Table to Section 156(1) of the Customs Act, 1969 (the Act) for alleged misdeclaration under section 32 of the Act regarding the net weight of the goods in question. Against this, the appellant made a reply vide its letters dated 03.06.2022 and 28.06.2022 wherein stated that the wrong noting regarding net weight in the bill of entry was unintentional and the same had already been corrected/revised by the exporter and correct documents submitted to the authorities who were empowered to allow the same.

He claims that wrong noting in the bill of entry, regarding the net weight of the goods in question would not affect the assessment of the same inasmuch the goods in question are liable to be assessed as per unit not in KG for determination of the value of the same for duties and other charges. The question of declaration does not arise as in the instant consignment the goods remained the same as per unit irrespective of mistake in the net weight. However, respondent No.2 without considering such reply and law by an order No. 232 dated 01.08.2022 under নথি নং- ৫/কাঃ হাঃ চট্টঃ সেকশন-৫(এ)/ ৬০২২/ শুদ্ধায়ন কার্যক্রম/ ২০২২/ ৯২০২ imposed penalty of TK. 5,56,00,000/- (five core and fifty six lac) upon the appellant under Clause 14 of the Table to Section 156(1) of the Customs Act, 1969 (the Act) for alleged misdeclaration under section 32 of the Act and also imposed a fine in lieu of confiscation of goods amounting to TK. 4,00,000/- (four lac) under section 181 of the Act. Thereafter, Respondent Nos. 3 to 5 assessed the same as per KG instead of Unit and hence demanded additional duties of TK. 2,77,18,138.17 with actual duties of TK. 81,91,442.92.

Being aggrieved by and dissatisfied with the above order and assessment, the appellant preferred Customs Appeal No. 611 of 2022 before respondent No.1 along with an application for releasing the goods in question on receipt of customs duties in cash as per declaration and on furnishing bank guarantee for difference amount of duties and penalties as determined by the respondent No. 2.

It is noted that in a Writ Petition No. 14736 of 2022, this Court directed respondent No. 2 to release the goods in question on receipt of all duties and charges in cash and on furnishing bank guarantee for fines and penalties. Respondent No. 1 dismissed the appeal as there was a direction to dispose of the appeal. Subsequently, due to the urgency of having the goods in question, the appellant had to take release of the goods in question making entire duties and charges with fine and penalties in cash reserving the right to appeal by an application dated 12.12.2022 and hence the instant appeal.

Mr. Mohammad Jamal Hossain, learned Advocate for the appellant submits that the respondents erred in law and fact in passing the impugned orders inasmuch as the appellant submitted a Bill of Entry for releasing the goods. According to him wrong noting in the bill of entry with respect to the net weight of the goods in question is a mistake, thus he prayed to cancel the bill of entry or prayed to make amendments in the bill of entry in pursuance of the revised shipping documents issued by the exporter dated 20.04.2022. According to him, it was a mistake and wrong noting in the bill of entry was unintentional and, the appellant took enough steps to cure the said mistake, therefore the imposition of the fine and penalty for misdeclaration is illegal, irrational, arbitrary, malafide, colorable exercise of power and hence the same is liable to be set aside.

He submits in all shipping documents including in the bill of entry, that the gross weight of the goods in question was mentioned as 2324 KG, and therefore it is improbable to mention net weight as 473 KG against the gross weight 2324 KG was a bonafide mistake and for which imposition of fine and penalty was illegal and hence the same is liable to be set aside.

He claims by filing applications prayed to amend the bill of entry in respect of wrong noting about the net weight of the goods in question before removing goods from the customs area, even before raising objection/show cause notice/physical examination report. According to him respondents were under legal obligation and had authority under sections 29 and 205 of the Customs Act to rectify such bonafide mistake of the appellant. But without performing their legal obligation, respondents most illegally passed the impugned order and as such the same is liable to be set aside.

He submits that the nature of business of the appellant, General Interpretive Rules (GIR), previous classification of similar goods, national and international data, and Explanatory Notes as well as laws and rules of the goods in question shall be measured in units for determination of the value of the same and as such the impugned judgment and order determining the value of the same in KG is liable to be set aside.

He submits the declaration has made based on shipping documents, and those documents were prepared by the exporter, According to him when declaration is made on the basis of documents of exporter/shipping documents it cannot be call misdeclaration. According to him there was no motive on the part of the appellant to avoid any levy in view of the fact that if the appellant intended to evade duty then would not adopt the procedure under section 29 of the Act for amending bill of entry before physical examination of the goods.

He submits the penalty has been imposed under Clause 14 of the Table to Section 156(1) of the Customs Act for committing offence under Section 32 of the Act. Under the above section 32 of the Act, if any person, in connection with any matter of customs, make any statement and/or submit any document which is untrue in any material particular for evading levy shall be guilty of offence. He claims declaration or statement can be said 'untrue' if the same made by a person who knew or had reason to believe that was false in material particulars and declared with a motive to avoid tax. According to him in this regard such motive to avoid tax is not present. The imposition of penalty and fine in lieu of confiscation is illegal, arbitrary, malafide, and malicious inasmuch as there are no ingredients of offense as alleged by the respondents under section 32 of the Act. Moreover, the Authority permitted the appellant to import the goods in question under the same invoice and therefore the customs duties and other charges is imposable on that value whatever the weight of the said consignment.

Mr. Md. Hafizur Rahman, learned AAG by showing office nathi submits respondent No.1 rightly passed the order in the Appeal thereby dismissing the appeal and affirming order No. 232 dated 01.08.2022. According to him due to the mis-declaration authority imposed a fine. He submits Authority has no scope under the law to amend the documents, the submission of the petitioner is not tenable in law.

It is noted that the appellant imported goods, and the weight of the goods had to be mentioned in the shipping documents. But mistakenly the net weight of the goods in question was mentioned as 473 KG instead of the actual net weight of 1851 KG, though the gross weight of 2324 KG was rightly mentioned in all the documents. Imported goods were not released due to the description of weight. Knowing the above error, the exporter on 20.04.2022 issued a revised/corrected Invoice, Packing List and Bill of Landing mentioning the net weight of the goods in question is 1851 KG. After receiving the above-revised documents, the appellant on 28.04.2022 and 22.05.2022 filed applications along with revised documents for cancellation of the submitted Bill of Entry No. C-649777 dated 07.04.2022 and to issue a new bill of entry or to allow them to correct Colum No. 38 of the submitted bill of entry for noting the net weight of the goods in question as 1851 KG instead of 473 KG. Respondent No. 2 did not take any steps as provided in sections 29 and 205 of the Act. Instead of that respondent No.4 on behalf of respondent No.2 issued a show cause notice thereby asking as to why the appellant should not be penalized under law for alleged mis-declaration. In reply appellant stated that the wrong noting regarding net weight in the bill of entry was unintentional and the same had already

been corrected/ revised by the exporter and correct documents had been submitted to the authorities who were empowered to allow the same.

It appears, in this case, the exporter rightly mentioned the gross weight in all the documents, but the net weight of the goods was mistakenly mentioned, knowing the above fact Appellant filed an application along with revised documents to amend the document and release the goods. At this juncture, he draws our attention to chapter V of the Customs Act, 1969 deals with Levy of, exemption from, and repayment of, customs duties. Section 29 falls under the said chapter which is as follows:

"Except as provided in section 88, no amendment of a bill of entry or bill of export relating to goods assessed for duty on the declared value, quantity or description thereof shall be allowed after such goods have been removed from the customs area."

From the above provision of law, it appears that amendment of the bill of entry or bill of export relating to goods assessed for duty on the declared value, quantity, or description cannot be allowed, if the goods are removed from the customs area. In this case, the goods were not removed from the customs area; to recover and amend the mistake importer has deposited the revised document along with the application in time. Since goods were not removed, the revised or corrected document was deposited from the exporter, and the law of this land permitted to allow the same, thus Authority has an obligation to accept the same.

However, it is pertinent to mention, that it appears from office note No. 45 that the authority has taken the initiative for their intensive against the Duty, Tax Penalty under section 217B of the Act, and in this aspect, another office note being office note No. 58 has been issued. For our better understanding alleged office notes are reproduced herein below:

“৪৫। নোট অনুচ্ছেদ ৪৪ এর মতামত অনুযায়ী কার্যক্রম গ্রহণের জন্য অনুরোধ করা হলো এবং একই সাথে Duty-Tax, Penalty আদায় পূর্বক The Customs Act, 1969 এর বিধান অনুযায়ী Duty-Evarim উৎঘাটন এ আদায় সংশ্লিষ্ট কর্মকর্তাদের মধ্যে পুরস্কার মঞ্জুরের অনুরোধ জানিয়ে NBR-কে পত্র প্রেরণের জন্যও অনুরোধ করা হলো।

৫৮। কাস্টম হাউস, চট্টগ্রামের মাধ্যমে বি/ই নং-সি-৬৪৯৭৭৭, তারিখ: ০৭/০৪/২০২২ খ্রি: এর মাধ্যমে আমদানিকৃত পণ্যচালানে স্বাভাবিকহারে প্রদেয় শুল্ক-করাদি অপেক্ষা সর্বমোট ৮,৩৭,১৮,১৩৮.১৭ (আট কোটি সাতত্রিশ লক্ষ আঠারো হাজার একশত আটত্রিশ দশমিক এক সাত) টাকার অতিরিক্ত আদায় হয়। সংশ্লিষ্ট কর্মকর্তা ও কর্মচারীদের দক্ষতা ও বিচক্ষণতার কারণে উক্ত অতিরিক্ত শুল্ক-করাদি আদায় হওয়ায় তাদের শুল্ক-ফাঁকি প্রতিরোধে উৎসাহ প্রদানের জন্য শুল্ক (পুরস্কার মঞ্জুরী) বিধিমালা, ২০০৯ এর আওতায় ৮৩,৭১,৮১৩.৮২ টাকার চূড়ান্ত পুরস্কার মঞ্জুরীর লক্ষ্যে জাতীয় রাজস্ব বোর্ডে প্রেরিতব্য পত্র এবং পুরস্কার মঞ্জুরীর জন্য তথ্য-সম্বলিত ছক সদয় স্বাক্ষরের জন্য উপস্থাপন করা হলো।”

From the fact, it transpires that due to provisions related to intensive, most of the officials are eager to wait to impose duty, tax, and penalty instead of applying

judicial mind and suffering the importers. Admittedly, imported goods are not contravent items, upon reading the documents, it appears the net weight of the goods was mentioned as 473 KG against a gross weight of 2324 KG, to correct such a mistake or wrong petitioner filed an application, under the law Authority has power to amend the same. Authority did not consider such an application only to get benefits out of fit.

However, considering the above fact, reason and position of law, the Appeal is allowed.

In light of the above, we are of the view that the employees involved in the issue are not entitled to get such an incentive in this particular case. If such an incentive has already been allowed, it should be returned or withdrawn immediately and the Authority is directed to withdraw the same.

The authority is also directed to return the penalty received from the petitioner within 90(ninety) days of receipt of the judgment.

Send down the L.C.R at once.

No order as to cost.

Communicate the order.

S.M. Maniruzzaman, J:
I agree